

ECON 0100 | Exercise B5 | Market Changes

Pumpkin pasties again, with the same demand and supply curves as Exercise B3:

$$P = 12 - \frac{Q_d}{2} \qquad P = 2 + \frac{Q_s}{2} \qquad (1)$$

Prices are in galleons and quantity is in pasties. The equilibrium you found is 10 pasties at 7 galleons.

Q1 | Price Elasticity

- a) Use the midpoint method to find the elasticity of demand when the price changes from 8 to 10 galleons. _____
- b) Is demand elastic, unit elastic, or inelastic in a)?
- c) Use the midpoint method to find the elasticity of demand when the price changes from 2 to 4 galleons. _____
- d) Use the midpoint method to find the elasticity of supply when the price changes from 3 to 5 galleons. _____

Q2 | Supply & Demand Shifters

A subcommittee of the Ministry published a story in the Daily Profit establishing a link between the consumption of pumpkin pasties and accidental magical spell casting by wizards and witches in public areas.

- a) The demand curve: *shifted in, stayed the same, shifted out*
- b) The supply curve: *shifted in, stayed the same, shifted out*

Q3 | Comparative Statics

Pumpkin growers suddenly discover a miracle fertilizer that significantly increases harvests. On its own, how did this discovery impact the market?

- a) The equilibrium price: *increased, stayed the same, decreased*
- b) The equilibrium quantity: *increased, stayed the same, decreased*

Without using numbers, how have these two changes together (the study and the fertilizer) impacted the pumpkin pasty market equilibrium?

- c) Equilibrium price has: *increased, stayed the same, decreased, indeterminate*
- d) Equilibrium quantity has: *increased, stayed the same, decreased, indeterminate*